AUSTRALIAN COMPETITION & CONSUMER COMMISSION

Land of the Ngunnawal people
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Our ref: IM-72885

24 July 2025

Dear Interested Party

Re: ACCC seeking your views: Ellerslie's proposed acquisition of the LPC Group

The Australian Competition and Consumer Commission (**ACCC**) is seeking your views on the proposed acquisition of a 70% interest in the LPC Group (**LPC**) by Ellerslie Free Range Farms Pty Ltd (**Ellerslie**) (the **Proposed Acquisition**).

Ellerslie and LPC are both suppliers of shell eggs and poultry feed in Australia and are active across multiple levels of the egg production supply chain.

Further details regarding the parties and the Proposed Acquisition are provided at **Attachment A**.

The ACCC's investigation is focused on the impact of the Proposed Acquisition on competition. In particular, we are seeking your views on:

- the closeness of competition between Ellerslie and LPC in the supply of shell eggs and poultry feed
- the availability of alternative suppliers of shell eggs and poultry feed, and
- any impact of the Proposed Acquisition on the acquisition of inputs required for the supply of shell eggs.

Further issues you may wish to address are set out in **Attachment B**.

This matter is public and you can forward this letter to anybody who may be interested.

The legal test which the ACCC applies in considering the Proposed Acquisition is in section 50 of the *Competition and Consumer Act 2010*. Section 50 prohibits acquisitions that are likely to have the effect of substantially lessening competition in a market.

Please provide your response by **Tuesday 5 August 2025** via email to mergers@accc.gov.au with the title: *Submission re: Ellerslie / LPC.* If you require more time to respond, please let us know.

If you would like to discuss the matter with ACCC officers, or have any questions about this letter, please contact mergers@accc.gov.au.

Updates regarding the ACCC's investigation will be available on the ACCC's Public Mergers Register at (ACCC mergers register).

Confidentiality of submissions

The ACCC treats sensitive information it receives during a merger review as confidential, and will not publish your submission. We will not disclose submissions to third parties (except our advisors/consultants) unless compelled by law (for example, under freedom of information legislation or during court proceedings) or in accordance with s155AAA of the Competition and Consumer Act 2010. Where the ACCC is required to disclose confidential information, we will notify you in advance where possible so that you have an opportunity to be heard. Therefore please clearly indicate if any information you provide is confidential. Our Informal Merger Review Process Guidelines contain more information on confidentiality.

Yours sincerely

Morag Bond
General Manager
Merger Assessments

Attachment A

Ellerslie

Ellerslie is a Queensland based agricultural business in the egg farming and production sector.

Ellerslie's layer farms produce caged, cage free, free range, pasture raised and organic shell eggs. Ellerslie sells graded shell eggs to wholesalers or distributors including Sunny Queen, who distribute shell eggs to retailers, foodservice customers, and other channels.

Ellerslie has three rearing sites, five layer farms, a feedmill complex, and grading, processing and warehousing facilities across Queensland. Ellerslie's feedmill includes an organic and conventional mill.

Ellerslie has a 50% interest in Sunny Queen, with the other 50% held by the McLean family (through Alpair Pty Ltd). Sunny Queen has three processing facilities in Queensland, and one grading site in Victoria. It also has warehouses in NSW and Victoria.

Ellerslie is indirectly owned by Public Sector Pension Investment Board (**PSP Investments**) via its wholly owned subsidiary PSP Investments Aztec Pty Ltd (**PSP Aztec**) as trustee for the Ellerslie Trust (currently 60%) and DHP Consolidated Pty Ltd (**DHPC**) on behalf of the Hall family (currently 40%).

LPC

LPC is a NSW based shell egg production business that supplies shell eggs and poultry feed.

LPC operates in the Riverina and Southwest Slopes regions of NSW where it has two pullet rearing facilities, three layer farms (plus one in development), one feedmill, and a transport division.

LPC supplies feed (for poultry and pigs) and ungraded shell eggs to third parties from its facilities in NSW.

The proposed acquisition

In addition to Ellerslie's acquisition of 70% of LPC, the Proposed Acquisition includes the acquisition of specified property, plant, equipment and vehicles used in the business of LPC.

Attachment B

1. Please provide a brief description of your interest in the Proposed Acquisition, including any commercial relationship(s) with Ellerslie or LPC.

Questions for acquirers and suppliers of shell eggs

2. How closely do Ellerslie (including Sunny Queen) and LPC compete to supply shell eggs? How do they compare as suppliers of shell eggs? In your response, please consider price, quality and product range.

3. Please provide an outline of the alternative suppliers of shell eggs, and how they compare to Ellerslie, Sunny Queen and LPC. In your response, please consider their size, product range, geographic location of their facilities, price and quality.

4. If you are a wholesale acquirer of shell eggs, how would you respond if the price of shell eggs supplied by the merged firm increased by 5-10%? To what extent would you be able to switch to other suppliers or otherwise resist proposed price increases?

5. In your view, do you think that the Proposed Acquisition would be likely to reduce competition in the supply of shell eggs and, if so, how (in terms of price or other aspects of supply)?

Questions for acquirers and suppliers of poultry feed

6. If you are an acquirer of poultry feed, provide details of how Ellerslie and LPC have competed for your business. How do they compare as suppliers of poultry feed? In your response, please have regard to price, quality, product range and location.

7. Please provide an outline of the alternative suppliers of poultry feed, and how they compare to Ellerslie and LPC. In your response, please have regard to their relative sizes, product range, price and quality.

8. If you are an acquirer of poultry feed:

    a. who do you purchase poultry feed from and what factors influence your purchasing decision (such as price, the distance of the supplier to your farm, the size and offerings of the supplier and/or quality of the feed)?.

    b. are there any circumstances under which you would switch between purchasing organic and non-organic poultry feed? If so, please provide further details.

9. If you are a supplier of poultry feed, please provide an overview of the cost and time involved in switching between the supply of:

    a. poultry feed and other animal feeds (i.e. from poultry feed to pig feed or vice versa).

    b. organic poultry feed and non-organic poultry feed (and vice versa).

10. What are the typical trading terms for the purchase of poultry feed (for example products supplied, contract length, exclusive supply arrangements).

11. What would be required for a company to begin supplying poultry feed? In your response, please consider set up costs, regulatory and legal requirements, necessary scale, and the time required to enter or expand in these markets.

Additional information

12. Please provide any additional information or comments that you consider relevant to the ACCC's consideration of the Proposed Acquisition.